

Cloud Cost Analysis — FY2026 Mid-Year

Spend overview

Cloud spend is tracking 4% under budget at the half. Compute is the largest line, followed by managed databases and observability. The enterprise discount program renewal (see vendor contract summary) locks pricing through 2027.

Category	H1 actual	H1 budget	Trend
Compute (EC2/EKS)	\$1.92M	\$2.05M	flat
Databases (RDS/Redis)	\$610K	\$590K	+7% QoQ
Storage (S3) + CDN	\$340K	\$360K	flat
Observability	\$295K	\$250K	+12% QoQ

Drivers and actions

Autoscaling groups right-sizing saved an estimated \$210K annualized. Elasticsearch indexing growth drives the database trend — the capacity planning notes propose two hot-tier nodes offset by cold-tier archiving. Observability growth traces to Datadog tracing volume; sampling policy review is scheduled with the SRE team.